Business Reader – Assignment 1 (60 mins)

Instructions

- Two documents will be provided: this question paper and the exhibits booklet
- The booklet holds Exhibit 1, the article, and Exhibit 2, five extracts from the company's filed result. Nothing else may be used
- Part A : five numerical questions, Part B : five reading questions
- +4 for correct answer, -1 for wrong answer and 0 for no attempt
- One option per question. Two marked answers scores as wrong answer.
- Figures are in rupees crore unless the exhibit says otherwise. 100 basis points (bps) is one percentage point
- Round percentages to the nearest whole number unless the options show decimals
- A calculator is allowed

Part A : numerical (4 marks each)

A1. By how much did Honasa's revenue from operations grow from the same quarter a year earlier, as reported and on the company's like-for-like basis?

(a) About 32 per cent as reported, about 27 per cent like-for-like
(b) About 27 per cent as reported, about 32 per cent like-for-like
(c) About 15 per cent as reported, about 19 per cent like-for-like
(d) About 27 per cent as reported, about 22 per cent like-for-like

A2. What was Honasa's EBITDA margin in Q1 FY27 on reported revenue, and on like-for-like revenue?

(a) 14.1 per cent on reported revenue, 14.6 per cent like-for-like
(b) 14.6 per cent on reported revenue, 7.7 per cent like-for-like
(c) 12.0 per cent on reported revenue, 11.5 per cent like-for-like
(d) 14.6 per cent on reported revenue, 14.1 per cent like-for-like

A3. Leave out the one-time item the company identifies. What was Honasa's like-for-like EBITDA margin in Q1 FY27, and by how many percentage points had it risen from a year earlier?

(a) About 12.6 per cent, up about 4.9 points
(b) About 14.1 per cent, up about 6.4 points
(c) About 14.6 per cent, up about 6.9 points
(d) About 12.6 per cent, up about 6.4 points

A4. What share of Honasa's profit before tax came from other income, in Q1 FY27 and in the same quarter a year earlier?

(a) About 3 per cent in Q1 FY27, about 4 per cent a year earlier
(b) About 21 per cent in Q1 FY27, about 52 per cent a year earlier
(c) About 19 per cent in Q1 FY27, about 43 per cent a year earlier
(d) About 19 per cent in Q1 FY27, about 23 per cent a year earlier

A5. Honasa bought Reginald Men in January 2026, after Q1 FY26, so Reginald Men's sales are in Q1 FY27 but not in Q1 FY26. Take one quarter of Reginald Men's annual revenue run rate as its revenue for Q1 FY27. Roughly what share of the increase in Honasa's reported revenue from a year earlier came from Reginald Men?

(a) About 5 per cent
(b) About 23 per cent

(c) About 93 per cent

(d) About 40 per cent

Part B : reading (4 marks each)

B1.

Statement 1: Honasa's younger brands grew more than 40 per cent in Q1 FY27.

Statement 2: The younger brands include Reginald Men, a business Honasa acquired, whose revenue has more than doubled since the acquisition.

(a) Statement 2 supports Statement 1 and shows the growth came from brands Honasa built itself

(b) Statement 1 can stand, and the bought brand is too small next to the others to change the picture

(c) Statement 1 can stand, but part of the growth comes from a brand added by purchase, so it overstates how fast the brands Honasa already owned grew

(d) Statement 2 contradicts Statement 1, since revenue from a bought brand cannot be counted as growth at all

B2.

Statement 1: EBITDA margin expansion "was helped by a more profitable offline channel mix, momentum in Mamaearth and The Derma Co, and improving profitability at younger brands".

Statement 2: The company's own step-by-step breakdown of how its EBITDA margin changed from a year earlier.

(a) Statement 2 supports Statement 1 in full

(b) The causes the article lists are in the company's breakdown, but the article leaves out a one-time item that the company says added about a quarter of the margin gain

(c) The causes the article lists are in the company's breakdown, but the article leaves out a one-time item that the company says added more than half of the margin gain

(d) The company's breakdown shows the offline channel mix pulled the margin down, so Statement 2 contradicts Statement 1

B3.

Statement 1: "The improved profitability came alongside continued investment in growth."

Statement 2: Advertisement expense fell as a share of revenue from a year earlier.

(a) Statement 1 holds, with a qualification : advertising spend rose in rupees but fell as a share of revenue, which helped lift the margin

(b) Statement 2 contradicts Statement 1 : advertising spend fell in rupees, and the money saved went straight into profit

(c) Statement 1 holds in full : advertising spend stayed flat in rupees, so the whole margin gain came from elsewhere

(d) Statement 1 cannot be judged : the exhibits give advertising only as a share of revenue, never in rupees

B4. Which of these sentences from the article reports a figure that the exhibits show on two different bases?

(a) "Consolidated revenue from operations increased 27% to ₹756 crore from ₹595 crore in the year-ago quarter"

(b) "after more than doubling its net profit in the April-June quarter (Q1FY27)"

(c) "Honasa's younger brands ... grew more than 40% in Q1 FY27"

(d) "The company said its focus categories now account for more than 85% of its business, up 450 basis points year-on-year"

B5. Take each sentence as true. Which one names a part of Honasa's business that grew more slowly than Honasa's revenue as a whole?

(a) "Honasa's younger brands ... grew more than 40% in Q1 FY27"

(b) "Fragrance is one of the largest beauty categories globally and India's fastest-growing beauty category, estimating the Indian perfume market at more than ₹7,000 crore in 2026 and a 15% CAGR"

(c) "Face cleansers crossed a ₹200-crore annualized run rate, taking the number of categories above that threshold to three, alongside serums and sunscreens"

(d) "Mamaearth, Honasa's largest brand, also accelerated to high-teens growth in the quarter"

Part C : in your own words (optional, unmarked)

Optional, no marks. Rewrite the title, the subtitle and a one-paragraph summary of this article, in your own words. Title under 12 words, subtitle under 25, summary under 80.

Answer Sheet

A1:

A2:

A3:

A4:

A5:

B1:

B2:

B3:

B4:

B5:

C:

Business Reader
Assignment 1 (Honasa) : Answers Explained

How to read this

Every question is printed in full, with the right option highlighted. Under it you will find the part of the article or the exhibit you needed, the working, and a line on each wrong option. Exhibit numbers match your exhibits booklet.

Question	A1	A2	A3	A4	A5	B1	B2	B3	B4	B5
Answer	(b)	(d)	(a)	(c)	(b)	(c)	(b)	(a)	(a)	(d)

Part A

A1

By how much did Honasa's revenue from operations grow from the same quarter a year earlier, as reported and on the company's like-for-like basis?

(a) About 32 per cent as reported, about 27 per cent like-for-like

(b) About 27 per cent as reported, about 32 per cent like-for-like

(c) About 15 per cent as reported, about 19 per cent like-for-like

(d) About 27 per cent as reported, about 22 per cent like-for-like

What you needed. Exhibit 2A, P&L Summary :

Particulars	Q1 FY 27	Q1 FY 26	Q4 FY 26	YoY Growth	QoQ Growth
Revenue from operations	**756**	**595**	657	27.0%	15.0%

Exhibit 2B, top left box : Revenue from operations **INR 785 Cr**, **31.8% YoY Improvement**. The note under the boxes says this figure "is presented on a Like-for-Like (LFL) basis, adjusted for change in settlement by Flipkart group".

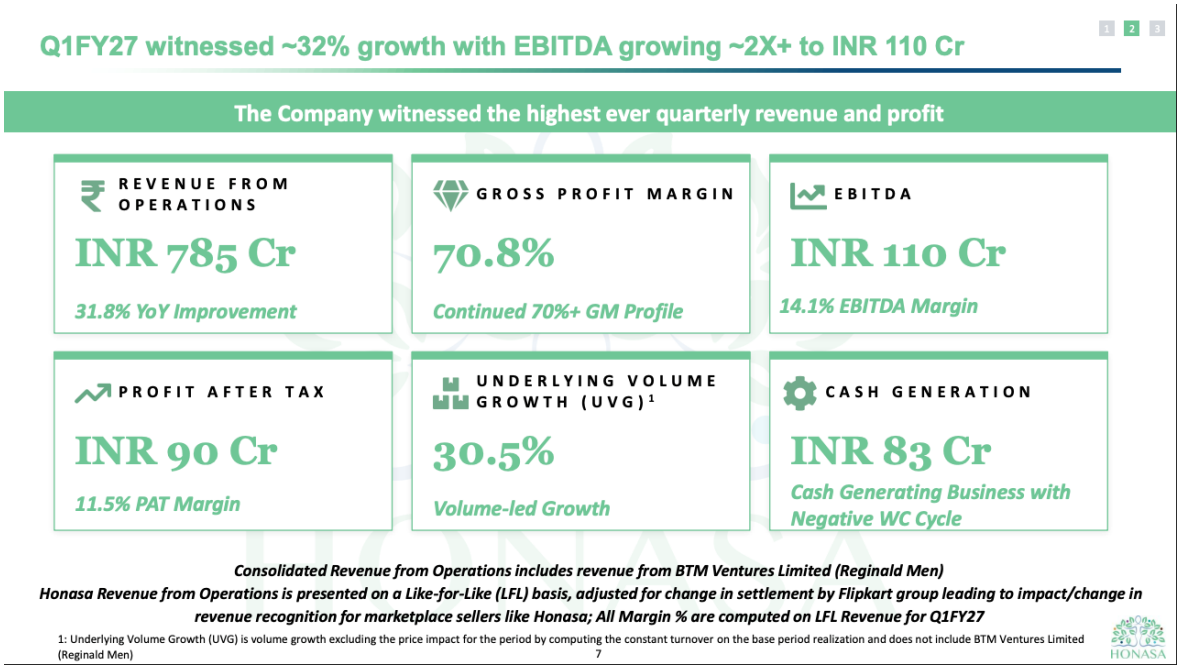


Exhibit 2C, the banner at the top : "~INR 29 Cr revenue recognition impact in the topline with no effect on absolute profitability".

Working. As reported : 756 ÷ 595 = 1.27, so up 27 per cent. Like-for-like : 785 ÷ 595 = 1.32, so up 32 per cent. The like-for-like figure adds back the ₹29 crore that the new Flipkart method took out of revenue (756 + 29 = 785).

Answer : (b).

A2

What was Honasa's EBITDA margin in Q1 FY27 on reported revenue, and on like-for-like revenue?

(a) 14.1 per cent on reported revenue, 14.6 per cent like-for-like
(b) 14.6 per cent on reported revenue, 7.7 per cent like-for-like
(c) 12.0 per cent on reported revenue, 11.5 per cent like-for-like
(d) 14.6 per cent on reported revenue, 14.1 per cent like-for-like

What you needed. Exhibit 2A :

Particulars	Q1 FY 27	Q1 FY 26
Revenue from operations	**756**	595
EBITDA	**110**	46
EBITDA Margin %	**14.6%**	7.7%

Exhibit 2B : Revenue from operations **INR 785 Cr**. EBITDA INR 110 Cr, **14.1% EBITDA Margin**. Note under it : "All Margin % are computed on LFL Revenue for Q1FY27".

Working. Same EBITDA, two revenues. Reported : 110 ÷ 756 = 14.6 per cent. Like-for-like : 110 ÷ 785 = 14.0 per cent. The company prints 14.1, a small rounding gap, so 14.0 means your method was right.

Answer : (d).

A3

Leave out the one-time item the company identifies. What was Honasa's like-for-like EBITDA margin in Q1 FY27, and by how many percentage points had it risen from a year earlier?

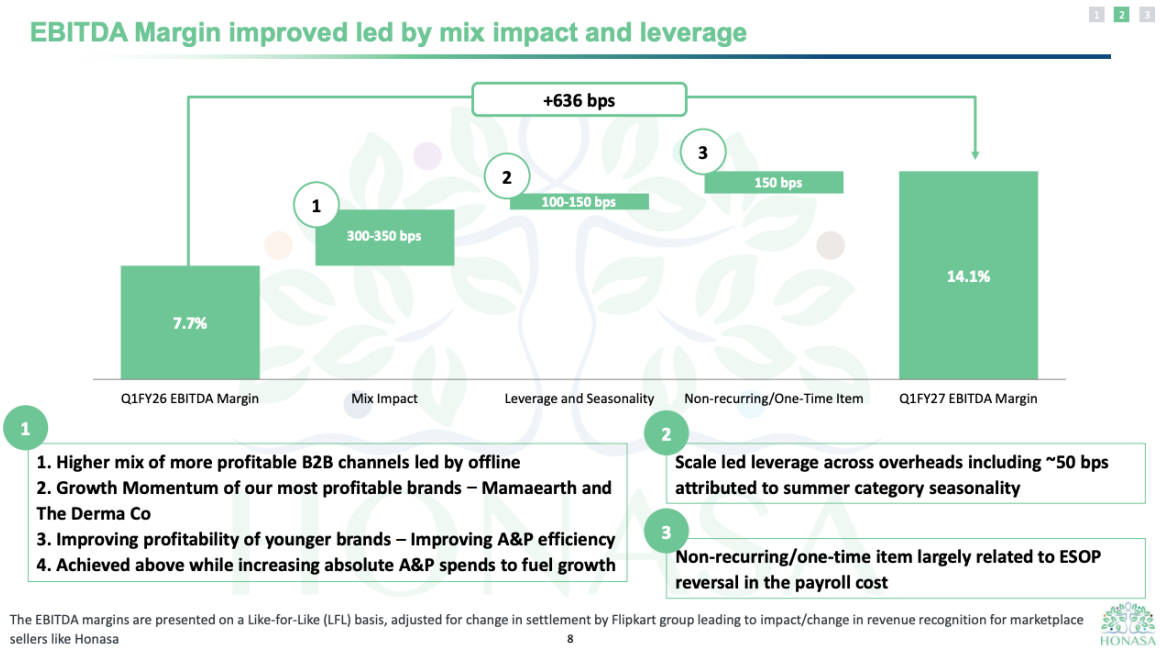
(a) About 12.6 per cent, up about 4.9 points

(b) About 14.1 per cent, up about 6.4 points

(c) About 14.6 per cent, up about 6.9 points

(d) About 12.6 per cent, up about 6.4 points

What you needed. Exhibit 2D, the step-by-step breakdown of the margin change :



Step	Value
Q1FY26 EBITDA Margin	**7.7%**
1. Mix Impact	300-350 bps
2. Leverage and Seasonality	100-150 bps
3. Non-recurring/One-Time Item	**150 bps**
Q1FY27 EBITDA Margin	**14.1%**
Total change	+636 bps

Note for step 3 : "Non-recurring/one-time item largely related to ESOP reversal in the payroll cost".

Working. 150 bps is 1.5 percentage points. Margin without it : 14.1 − 1.5 = 12.6 per cent. Rise from a year earlier : 12.6 − 7.7 = 4.9 points.

Answer : (a).

A4

What share of Honasa's profit before tax came from other income, in Q1 FY27 and in the same quarter a year earlier?

(a) About 3 per cent in Q1 FY27, about 4 per cent a year earlier

(b) About 21 per cent in Q1 FY27, about 52 per cent a year earlier

(c) About 19 per cent in Q1 FY27, about 43 per cent a year earlier

(d) About 19 per cent in Q1 FY27, about 23 per cent a year earlier

What you needed. Exhibit 2A :

Particulars	Q1 FY 27	Q1 FY 26	Q4 FY 26
Revenue from operations	756	595	657
EBITDA	110	46	77

Other Income	23	24	19
Profit Before Tax	119	56	82

Working. Other income is money earned outside the main business, such as interest on cash. Q1 FY27 : 23 ÷ 119 = 19 per cent. A year earlier : 24 ÷ 56 = 43 per cent.

Answer : (c).

A5

Honasa bought Reginald Men in January 2026, after Q1 FY26, so Reginald Men's sales are in Q1 FY27 but not in Q1 FY26. Take one quarter of Reginald Men's annual revenue run rate as its revenue for Q1 FY27. Roughly what share of the increase in Honasa's reported revenue from a year earlier came from Reginald Men?

(a) About 5 per cent

(b) About 23 per cent

(c) About 93 per cent

(d) About 40 per cent

What you needed. Exhibit 2E :

Box	Figure
Annual Revenue Run Rate (Based on Q1FY27 Net Sales Value)	**INR 150 Cr+**
Growth in revenue since acquisition	2x+

Exhibit 2A : Revenue from operations **756** in Q1 FY 27 and **595** in Q1 FY 26.

Working. One quarter of the run rate : 150 ÷ 4 = ₹37.5 crore. Increase in revenue : 756 − 595 = ₹161 crore. Share : 37.5 ÷ 161 = 23 per cent.

Answer : (b).

Part B

B1

Statement 1: Honasa's younger brands grew more than 40 per cent in Q1 FY27.

Statement 2: The younger brands include Reginald Men, a business Honasa acquired, whose revenue has more than doubled since the acquisition.

(a) Statement 2 supports Statement 1 and shows the growth came from brands Honasa built itself

(b) Statement 1 can stand, and the bought brand is too small next to the others to change the picture

(c) Statement 1 can stand, but part of the growth comes from a brand added by purchase, so it overstates how fast the brands Honasa already owned grew

(d) Statement 2 contradicts Statement 1, since revenue from a bought brand cannot be counted as growth at all

What you needed. Exhibit 1, the article :

> Honasa's younger brands, including The Derma Co, Aqualogica, Dr. Sheth's, BBlunt, Staze and **BTM Ventures' Reginald Men** ... grew more than 40% in Q1 FY27 ...

Exhibit 2E : Growth in revenue since acquisition, **2x+**. Exhibit 2B, note under the boxes : "Consolidated Revenue from Operations **includes revenue from BTM Ventures Limited (Reginald Men)**".

Reasoning. The 40 per cent can be true. But one of the brands inside it was bought, and its revenue has more than doubled since then. A brand Honasa added by purchase, growing that fast, pulls the group's rate up. So the 40 per cent makes the brands Honasa already owned look faster than they were.

Answer : (c).

B2

Statement 1: EBITDA margin expansion "was helped by a more profitable offline channel mix, momentum in Mamaearth and The Derma Co, and improving profitability at younger brands".

Statement 2: The company's own step-by-step breakdown of how its EBITDA margin changed from a year earlier.

(a) Statement 2 supports Statement 1 in full

(b) The causes the article lists are in the company's breakdown, but the article leaves out a one-time item that the company says added about a quarter of the margin gain

(c) The causes the article lists are in the company's breakdown, but the article leaves out a one-time item that the company says added more than half of the margin gain

(d) The company's breakdown shows the offline channel mix pulled the margin down, so Statement 2 contradicts Statement 1

What you needed. Exhibit 2D :

Step	Value	Note
1. Mix Impact	300-350 bps	Higher mix of more profitable B2B channels led by offline. Growth Momentum of our most profitable brands, Mamaearth and The Derma Co. Improving profitability of younger brands, Improving A&P [advertising and promotion] efficiency. Achieved above while increasing absolute A&P spends to fuel growth
2. Leverage and Seasonality	100-150 bps	Scale led leverage across overheads including ~50 bps attributed to summer category seasonality
3. Non-recurring/One-Time Item	**150 bps**	ESOP reversal in the payroll cost
Total change	**+636 bps**	

Working. Step 1 covers the article's three causes : offline channel mix, Mamaearth and The Derma Co, and younger brands. Step 3 is missing from the article. Its size : 150 ÷ 636 = 24 per cent, about a quarter.

Answer : (b).

B3

Statement 1: "The improved profitability came alongside continued investment in growth."

Statement 2: Advertisement expense fell as a share of revenue from a year earlier.

(a) Statement 1 holds, with a qualification : advertising spend rose in rupees but fell as a share of revenue, which helped lift the margin

(b) Statement 2 contradicts Statement 1 : advertising spend fell in rupees, and the money saved went straight into profit

(c) Statement 1 holds in full : advertising spend stayed flat in rupees, so the whole margin gain came from elsewhere

(d) Statement 1 cannot be judged : the exhibits give advertising only as a share of revenue, never in rupees

What you needed. Exhibit 2A :

Particulars	Q1 FY 27	Q1 FY 26	YoY Growth
Revenue from operations	756	595	**27.0%**
Advertisement expense	**241**	**206**	**16.7%**
% of Revenue	**31.8%**	**34.6%**	

Exhibit 2D, step 1, point 4 : "Achieved above while **increasing absolute A&P [advertising and promotion] spends** to fuel growth".

Reasoning. Advertising rose in rupees, from 206 to 241 crore, so Honasa did keep investing. It rose more slowly than revenue (17 against 27 per cent), so its share of revenue fell from 34.6 to 31.8 per cent. That smaller share is one reason the margin rose.

Answer : (a).

B4

Which of these sentences from the article reports a figure that the exhibits show on two different bases?

(a) "Consolidated revenue from operations increased 27% to ₹756 crore from ₹595 crore in the year-ago quarter"

(b) "after more than doubling its net profit in the April-June quarter (Q1FY27)"

(c) "Honasa's younger brands ... grew more than 40% in Q1 FY27"

(d) "The company said its focus categories now account for more than 85% of its business, up 450 basis points year-on-year"

What you needed. Revenue on two bases : **756 crore, 27 per cent** as reported (Exhibit 2A) and **785 crore, 31.8 per cent** like-for-like (Exhibit 2B). Exhibit 2C shows both, with the ₹29 crore gap between 756 and 785 :

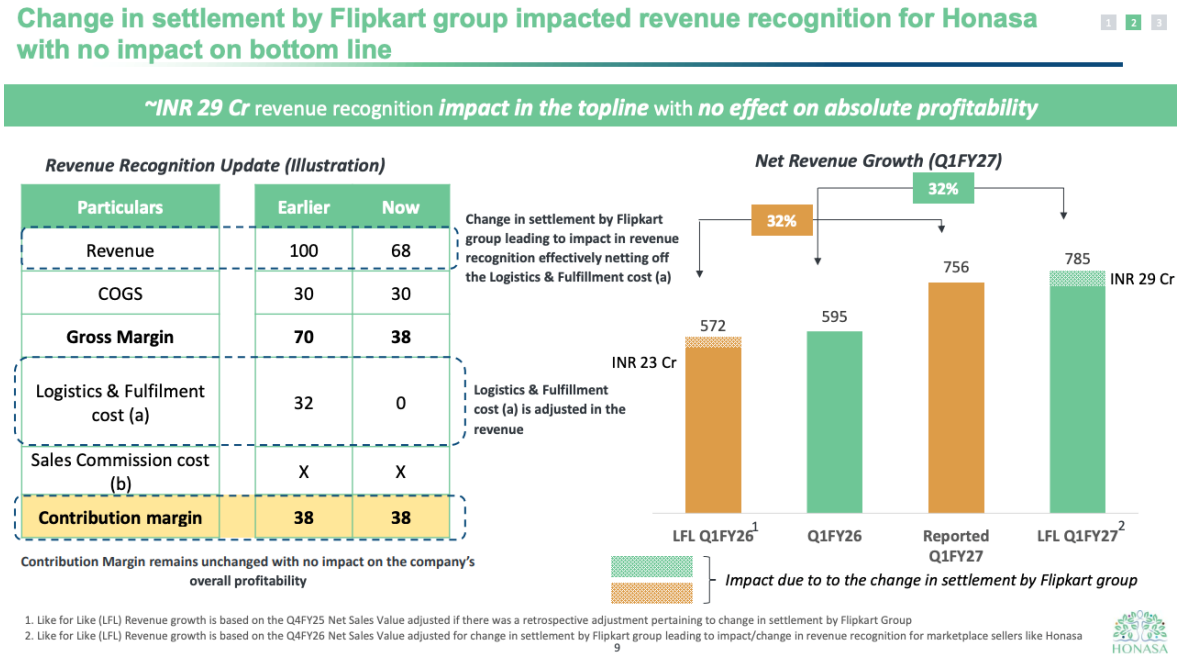


Exhibit 2C banner : the change has "**no effect on absolute profitability**".

Answer : (a).

B5

Take each sentence as true. Which one names a part of Honasa's business that grew more slowly than Honasa's revenue as a whole?

(a) "Honasa's younger brands ... grew more than 40% in Q1 FY27"

(b) "Fragrance is one of the largest beauty categories globally and India's fastest-growing beauty category, estimating the Indian perfume market at more than ₹7,000 crore in 2026 and a 15% CAGR"

(c) "Face cleansers crossed a ₹200-crore annualized run rate, taking the number of categories above that threshold to three, alongside serums and sunscreens"

(d) "Mamaearth, Honasa's largest brand, also accelerated to high-teens growth in the quarter"

What you needed. Exhibit 1, the article : "Consolidated revenue from operations **increased 27%** to ₹756 crore". Exhibit 2B : like-for-like revenue **31.8% YoY Improvement**.

Reasoning. Honasa as a whole grew 27 per cent as reported, 32 per cent like-for-like. High-teens means roughly 15 to 19 per cent, below both. So Mamaearth grew more slowly than the company.

Answer : (d).